*INTERNAL — DRAFT — NEGOTIATING TERMS — CEO eyes only*

# EXOS AEROSPACE — SSLC OPTION B ACQUISITION OFFER

*Board Decision Summary · October 7, 2026*

## EXECUTIVE SUMMARY

Jon Quinn (CEO) has directed Exos to proceed with Option B: invoke §3 exclusivity of the May 2025 Asset Acquisition Agreement at the 2025 board-approved price, with an earn-out tied to Intuitive Machines (IM) tank deliveries and/or listed Exos stock post-RTO. Scorpius Space Launch Company (SSLC) debts are paid at face value at close, providing Jim Wertz's personal path to yes. This is separate from the ROFR the board declined; it proceeds on the signed, board-approved §3 exclusivity trigger.

## DEAL TERMS (Option B)

| Component | Amount | Notes |
|---|---|---|
| Base acquisition price | $3,360,000 | §3 / §1 price; cash + stake credit |
| Cash at close | $2,510,000 | Exos cash; from Series A first close |
| SSLC costs | $60,000 | Seller's costs (§3) |
| Exos stake credit (18%) | ($790,000) | Non-cash; existing 18% equity at 2021 basis |
| 5% escrow holdback (§7, 12 mo.) | $168,000 | Released at 12-month anniversary |
| SSLC debts assumed at face (TBV) | ~$500K (TBV) | Microcosm/Wertz notes + AP — per 10/2 SSLC QB pull; verify |
| Prepaid-work delivery obligations assumed | ~$984K (TBV) | Exos assumes & funds $864K billed-ahead + $120K deposits — per 10/2 SSLC QB pull; verify |
| Earn-out i: IM tank revenue | 5% of rev, $300K cap/yr, 3 yrs | Low/Base/High: $450K / $750K / $900K |
| Earn-out ii: Exos stock post-RTO | 0.5% of FD shares, 12-mo lockup | Low/Base/High: $600K / $1.25M / $2.1M |
| TOTAL CONSIDERATION (Base, combined) | $5,860,000 | Low: $4.91M \| Base: $5.86M \| High: $6.86M |
| TOTAL VALUE DELIVERED (incl. prepaid-work) | $7,344,000 base | 5-yr total incl. prepaid obligation $984K; Low $6.39M / High $8.34M |

*TBV = to be verified in SSLC QuickBooks (QB session expired 10/7; must verify before signing). Prepaid-work and debts are separate lines — debts relieve personal obligations; prepaid-work assumes the delivery liability so SSLC investors bear no completion risk.*

## BENEFITS TO SSLC INVESTORS

*Jon 10/7: debts and prepaid-work are separate relief lines; not double-counted.*

| # | Benefit | Mechanism / Amount |
|---|---|---|
| 1 | Debt relief at face | ~$500K TBV — Microcosm/Wertz notes + AP cleared; personal path to yes for Jim |
| 2 | Delivery obligations assumed & funded | $984K face value (billed-ahead $864K + deposits $120K) — Exos funds completion; per 10/2 QB pull; verify |
| 3 | No further capital calls | Structural — investors stop funding a cash-negative entity |
| 4 | Cash at close | $2,510,000 — Section 3 deal price cash component |
| 5 | Earn-out upside — IM tank revenue (3 yrs) | Up to $900K — 5%/yr × $5M IM firm; $300K annual cap |
| 6 | Earn-out upside — Exos stock post-RTO | $0.6M–$2.1M — 0.3–0.7% FD shares at listing ($200M–$300M MEV) |
| 7 | Liquidity via listed Exos stock | Post-RTO ~FY28; 12-mo lockup then publicly tradeable |
| 8 | IM program continuity | No customer disruption — Exos-SSLC combined entity continues IM |

deliveries

## 1-YEAR AND 5-YEAR HEADLINE NUMBERS — TWO CASES

*Actuals-Anchored (AA): uses Q1 FY27 actuals and actuals-derived projections (FY27 SSLC fixed at $5.5M; quarterly-basis correction from prior $6.925M formula). Old-Model Case (v12 drivers): uses v12 Scorpius unit/ASP/COGS ramp (ASP $183K→$536K, units 1.5→9/mo, COGS 35%→30%) + v12 Exos standalone (BLK4/propulsion ramp). ⚠ v15 'Scorpius acquisition benchmark' ($0.9M→$21M) understates v12 Scorpius line ($4.1M→$54.7M) by 13× at Y5.*

| Metric | AA — FY27 | AA — FY31 | v12 Old-Model — FY27 | v12 Old-Model — FY31 | Notes |
|---|---|---|---|---|---|
| SSLC Revenue | $5,500,000 | $16,500,000 | $4,120,000 | $54,690,000 | AA: actuals-anchored + IM firm; v12: unit/ASP ramp |
| Exos Standalone Revenue | $2,600,000 | $16,000,000 | $4,760,000 | $124,500,000 | AA: v15 commission-only; v12: BLK4/propulsion/wet-lease ramp |
| Net Consolidated Revenue | $7,600,000 | $31,600,000 | $8,880,000 | $179,190,000 | After interco elimination. v12 = v12 total direct. |
| SSLC EBITDA | +$1,240,000 | +$6,000,000 | $1,910,000 | $35,420,000 | v12 SSLC EBITDA derived: tanks at 65%/70% GM |
| Exos Standalone EBITDA | −$4,000,000 | +$5,000,000 | −$790,000 | +$66,190,000 | v12 Exos derived = v12 total EBITDA − v12 SSLC EBITDA |
| Consolidated EBITDA | −$2,760,000 | +$11,000,000 | $1,120,000 | $101,610,000 | v12 EBITDA from v12 Annual P&L directly |
| v15 Benchmark (SSLC only) | $900,000 | $21,000,000 | $900,000 | $21,000,000 | ⚠ Legacy pre-IM-confirmation model. Both cases exceed by ≥6×. |
| Cash need at close | $3,010,000 | — | same | — | Acquisition $2.51M + WC bridge $0.5M |
| Series A first close | $10,000,000 | — | same | — | Covers acquisition, WC bridge, Exos ops |
| Net remaining for Exos ops | $6,990,000 | — | same | — | After SSLC cash deployment |

*AA consolidated EBITDA FY27 negative: Exos −$4M investment phase offsets SSLC +$1.24M. v12 FY27 EBITDA positive ($1.12M) because v12 assumes smaller Exos standalone loss. v12 Exos Y1 EBITDA derived = $1.12M total − ~$1.91M SSLC = −$0.79M. See Reconciliation sheet in xlsx for full line-by-line explanation.*

## EARN-OUT OPTIONS (Two Variants; Combined Recommended)

| | Earn-Out i: IM Tank Revenue | Earn-Out ii: Exos Stock | Combined |
|---|---|---|---|
| Structure | % of SSLC IM hardware revenue | Exos common stock at listing | Both i + ii |
| Mechanics | 5% annual, $300K cap, 3-year term | 0.5% of FD shares; 12-mo lockup | Each on own schedule |
| Low | $450,000 | $600,000 | $1,050,000 |
| Base | $750,000 | $1,250,000 | $2,000,000 |
| High | $900,000 | $2,100,000 | $3,000,000 |
| Dilution | None | ~0.5% of FD shares | ~0.5% — non-material |
| Rationale | Rewards SSLC sellers for IM growth they enabled | Aligns SSLC sellers with Exos upside post-RTO | Best protection for all parties |

## RISKS AND MITIGATIONS

### §3 Trigger Gap

- **Risk:** FNEX/Ainigma is an advisor/broker-dealer, not itself an 'investor or lender'. SSLC counsel (Danny) may challenge the trigger.
- **Mitigation:** Attach countersigned FNEX agreement + investor/sponsor use-of-proceeds letter naming the SSLC asset purchase. [Confirm D-7281974 is countersigned.]

### He-Tank Dispute (MC #3056)

- **Risk:** Rev3 GHe tank fails at 4,400 psi proof; Morey questions it as a flight article. Exos faces ~$175K to take to flight.
- **Mitigation:** Plan B: qualified COPV ≤$250K (Jon cap), $0.3M gap. Resolves cleanly post-acquisition as intercompany — the legal dispute disappears. Decision D-7281994.

### SSLC Cash Risk

- **Risk:** SSLC cash at QB date: $198K. Needs $0.3–0.7M to finish $984K in prepaid work. Risk of distress before close.
- **Mitigation:** Option C (held): prepaid BLK3 tank PO $300–700K as bridge. OR close quickly before cash depletes.

### Related-Party / Governance

- **Jon Quinn:** on both boards. Jon recuses from SSLC board vote; sends as Exos CEO only. Eqvista fairness opinion: engaged 8/14/2026; agreement still unsigned (held ~1 month).
- **Disinterested directors:** Markus Rufer and Bob approve on SSLC side; Jon abstains.

### Timing

- **Exclusivity window:** 90 days from ~Oct 8 = ~Jan 6, 2027. RTO close ~Mar 2027. Request extension proactively under the 'not unreasonably withhold' clause.
- **Jon in Japan:** Oct 8 – Oct 29. Named Exos officer signs while away. Reply-by date to Jim/board to be confirmed.

## ASKS — Board Decision Points

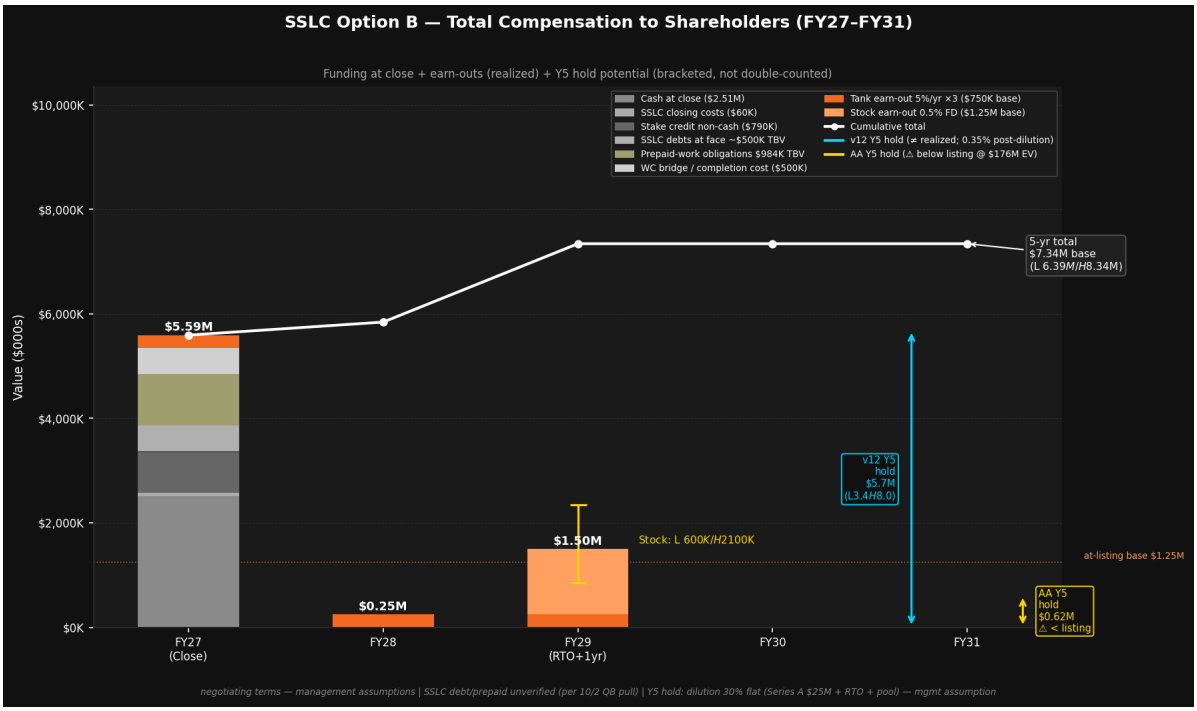
| # | Ask | Owner | Timing |
|---|---|---|---|
| 1 | DECIDED 10/7: Option B (A+B), Counsel deferred while negotiating | Jon (CEO) | Done |
| 2 | Confirm earn-out variant: tank-only, stock-only, or combined? | Jon (CEO) | Today 10/7 |
| 3 | Confirm FNEX agreement is countersigned (D-7281974)? | Jon | Before send |
| 4 | Obtain investor use-of-proceeds letter naming SSLC | Jon + FNEX | Before send |

| | | | |
|---|---|---|---|
| | purchase? | | |
| 5 | Name Exos officer to sign while Jon is in Japan? | Jon (CEO) | Today 10/7 |
| 6 | Set reply-by date to Jim Wertz? | Jon (CEO) | Today 10/7 |
| 7 | Verify SSLC liabilities in QB before signing? | Exo / Jon | Before sign |

*Model file: drafts/EXOS_SSLC_OptionB_Acquisition_Model_2026-10-07.xlsx — all formulas, recalculates on input changes.*
*Draft message to Wertz/board: see SSLC_Exclusivity_Rescue_Options_and_Draft_Message_2026-10-07_DRAFT_v2.docx.*
*Decision card for Jon's approval is on Mission Control under task #3544.*

## TOTAL COMPENSATION — 5-YEAR VIEW (FY27–FY31)

*Stacked bar: funding delivered at close + forward potential (earn-outs). Base scenario shown; stock earn-out whiskers show low/high range. negotiating terms — management assumptions; SSLC debt unverified.*




### 5-Year Total Compensation Summary

| Scenario | Funding Delivered (at close, FY27) | Forward Potential (earn-outs, 3-yr) | 5-Yr Total | Notes |
|---|---|---|---|---|
| Base | $5,344,000 | $2,000,000 | $7,344,000 | Tank $750K + Stock $1.25M |
| Low | $5,344,000 | $1,050,000 | $6,394,000 | Tank $450K + Stock $600K |
| High | $5,344,000 | $3,000,000 | $8,344,000 | Tank $900K (capped) + Stock $2.1M |
| Model 'Total Consideration' (base; Deal Structure) | $3,860,000 | $2,000,000 | $5,860,000 | Deal Structure sheet definition; prepaid-work obligation excluded from stated price |

*'Funding delivered' (5-yr total): cash at close $2.51M + SSLC costs $60K + Exos stake credit (non-cash) $790K + SSLC debts at face ~$500K (TBV) + prepaid-work obligations assumed ~$984K (TBV) + WC bridge $500K = $5.344M. Model 'Total Consideration' follows Deal Structure sheet definition (debt + earn-out + base price; excl. WC bridge and prepaid obligation). All figures marked TBV per 10/2 SSLC QB pull; verify before signing.*

*Chart file: drafts/SSLC_OptionB_Total_Compensation_5yr_2026-10-07.png*

*Total Compensation sheet in the model xlsx has formulas linked to Assumptions.*

## FORWARD POTENTIAL — HOLD TO YEAR 5 (FY31)

*Jon 10/7. If SSLC investors hold Exos shares post-listing to FY31 instead of selling at the 12-month lockup expiry, what is the value? FY31 EV = consolidated EBITDA × 16× EV/EBITDA (Eqvista 409A Market Approach, 3/31/2026). Dilution applied: Series A $25M staged (D1-D4, ~13%) + RTO listing (~12%) + option pool (~5%) = ~30% flat. MANAGEMENT ASSUMPTION — label accordingly. Not additive to the at-listing earn-out (investors choose to hold OR sell at lockup expiry).*

| Case / Scenario | FY31 Implied EV | Post-dilution stake | Y5 share value | At-listing value | Multiple vs listing | Notes |
|---|---|---|---|---|---|---|
| Old-Model — Low | ~$1.626B | 0.21% (0.3%×0.70) | ~$3.41M | ~$0.60M | ~5.7× | v12 FY31 EBITDA $101.6M × 16× |
| Old-Model — Base | ~$1.626B | 0.35% (0.5%×0.70) | ~$5.69M | ~$1.25M | ~4.5× | Headline: 4.5× the at-listing earn-out |
| Old-Model — High | ~$1.626B | 0.49% (0.7%×0.70) | ~$7.97M | ~$2.10M | ~3.8× | |
| AA — Low | ~$176M | 0.21% | ~$370K | ~$0.60M | ~0.62× | ⚠ AA FY31 EV BELOW $250M listing — holding hurts |
| AA — Base | ~$176M | 0.35% | ~$616K | ~$1.25M | ~0.49× | ⚠ Below listing — worth less by FY31 in AA case |
| AA — High | ~$176M | 0.49% | ~$862K | ~$2.10M | ~0.41× | ⚠ Below listing |

*AA case FY31 EV (~$176M) < $250M RTO minimum listing EV — the AA case explicitly says holding to FY31 yields LESS than selling at listing. This is NOT a flaw in the deal; it reflects conservative actuals-based projections. The Old-Model (v12) case at ~$1.63B FY31 EV yields ~4.5× the at-listing value. These values are NOT shown in the stacked bar (no double-counting); Y5 hold is a separate bracket annotation on the chart.*